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Rio Tinto, The Lego Group and Zara have all implemented key business strategies in order to increase their competitive advantage and profitability which has thus enabled each business to experience success to varying degrees.

Operations management at Rio Tinto has implemented the strategy of technology in order to promote business success. Technology refers to the implementation of new methods and devices that helps to increase the productivity and efficiency of Rio Tinto. Technology can either be established, meaning the technology is widely used and accepted by people and companies already e.g. barcoding, or can be Leading Edge meaning that at any point in time it is the most advanced form of technology applicable to a given task e.g. Virtual Reality. Rio Tinto have implemented leading edge technology at their Pilbara mine site in order to increase the efficiency and productivity of their operations, which therefore has led to a degree of business success. At the Pilbara mine site, Rio Tinto use 69 fully automated, remote control, driverless trucks to transport their iron ore. The success of the implementation of this leading edge

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technology at Rio Tinto can be assessed on two performance objectives;

1. Cost: The expenses incurred during the operations process.
2. Speed: How quickly a business is able to adapt to changes in market demand.

Firstly, the criteria of cost. By using Automated Driverless trucks at the Pilbara mines, Rio Tinto have successfully been able to reduce business expenditure on labour costs. By reducing labour costs, Rio Tinto have been able to reallocate funds into different areas of the business in order to promote further productivity and efficiency do try and increase business success. Rio Tinto have also successfully been able to reduce fuel costs by 2.5% per tonne. This represents an increase in productivity and efficiency as a result of the use of route optimization softwares.

Secondly, the criteria of speed. The implimentation of Automated trucks at the Pilbara mines mean that trucks can operate 24 hrs a day, for

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365 days a year, saving approximately 500 labour hours per annum increasing output by 1.5%. Rio Tinto have also utilised Route Optimisation Technology in order to make operations more efficient, saving an estimated 3 minutes per trip. This improvement has seen Rio Tinto increase productivity by saving approximately 500 labour hours a year.

At Rio Tinto, based on the criteria of Cost and Speed as a result of leading Edge Technology. Through this implementation of a result of operations management, Rio Tinto have been able to improve business performance that is seen through the 1.5% increase of output. However, this is not necessarily reflected in due to the subsiding of the Global Commodities Boom, Rio Tintos share price has dropped which would not suggest an improvement in business performance.

Operations management at The CEGO Group (CEGO) have implemented the strategy of outsourcing to improve business performance. Outsourcing refers to the hand-over of certain elements of doing the

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operations process to an external company, in order to improve business performance and simplify labour. Outsourcing for LEGO has the advantage of lower costs in labour, training and maintenance as well as improved efficiency and dependability as a result of more skilled labour. LEGO have used outsourcing in the distribution of their products in order to improve business performance. The effectiveness of outsourcing at LEGO can be assessed on the criteria of;

1. Flexibility: Ability of operation processes to adapt to changes in market demand.
2. Cost: The expenses incurred during the production phase.

Firstly the criteria of flexibility. LEGO's distribution centre in the Czech Republic is only 900km from the manufacturing plant in Denmark. This enable the LEGO group to flexibly adjust manufacturing and delivery through the use of e-procurement. By using e-procurement technology supply at the distribution centre is compared to global demand with all data sent back to manufacturing. LEGO's production process enable for the production and delivery

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of UV products from the production centre to the distribution centre within 7 days, with products then shipped globally within 3 days. Demonstrating LEGO's ability to flexibly manage demand.

LEGO have also been able to improve business performance through a reduction in costs. By reducing transportation and distribution costs, as well as labour and training costs LEGO have been able to reduce costs by 3%.

As LEGO based on the criteria of flexibility and cost, business performance has improved. As a result of outsourcing. LEGO was able to reduce labour costs by 3% and improve their productivity which enabled LEGO to be announced as the most profitable business in the world recording an increase in revenue of 24.5% between 2014 and 2015, showing clearly an improvement business performance as a result of skillful operations management.

Therefore on the criteria of cost, cost and flexibility business performance can be increased as a result of effective operations management.